

Modelling innovation

To plan for innovation, you need some way to map the different possible directions, in order to apply resources and energy appropriately. One useful model for this is the innovation compass, which plots innovation along two axes: doing things better, and doing things differently.

Using the innovation compass

As we have seen, innovation can be radical or incremental, and can proceed in one of four directions: product or service, process, market, or business model. The innovation compass maps all these variables against each other, allowing you to work out where innovation efforts in your organization are concentrated, and where they are neglected. Each of the four points of the compass represents one of the innovation directions. Incremental innovations sit closer to the center, while radical innovations are placed farther away. Plotting all of your innovation projects on a graph helps you direct innovation to the areas of your organization where it will be most useful.

Defining your innovation

The compass defines the “innovation space” your organization needs to explore to help move it forward. A number of journeys can be taken, not just along the four main directions, but in combination. For example, you could introduce a new product that opens up a new market, as Nintendo did with the Wii and the DS, targeting people who had never played computer games before. Or you could apply a radical procedure as McDonald’s did, opening up the fast food market by applying lessons from Henry Ford’s mass production process innovation in car making.